RBI KYC ? Key Requirements (condensed for demo)

This document condenses key obligations from the RBI Master Direction on Know Your Customer (KYC). It is a synthetic study aid for building the compliance tool, not the official text.

Section 1. Customer identification. Every customer must be identified using an Officially Valid Document (OVD) such as passport, Aadhaar, voter ID, driving licence or NREGA job card at the time of commencement of an account-based relationship.

Section 2. Risk categorisation. Regulated entities shall categorise every customer as low, medium or high risk based on a risk assessment, and apply due diligence proportionate to the assessed risk.

Section 3. Customer Due Diligence (CDD). CDD shall be carried out at the commencement of the relationship, when there are doubts about previously obtained data, and when a specified transaction threshold is crossed.

RBI KYC ? Key Requirements (continued)

Section 4. Enhanced Due Diligence (EDD). For customers assessed as high risk, enhanced due diligence measures shall be applied, including obtaining the source of funds and closer ongoing monitoring.

Section 5. Periodic updation. KYC records shall be periodically updated: at least once every two years for high-risk customers, once every eight years for medium-risk, and once every ten years for low-risk customers.

Section 6. Video-based Customer Identification Process (V-CIP). V-CIP is permitted for remote onboarding provided the process is live, the official records the customer's live location (geo-tagging), verifies the OVD, and the entire interaction is recorded and stored.

Section 7. Beneficial ownership. For legal-entity customers, the beneficial owner(s) shall be identified and their identity verified.

RBI KYC ? Key Requirements (continued)

Section 8. Record retention. Records of the identity of clients and of transactions shall be maintained for at least five years after the business relationship ends or the account is closed.

Section 9. Principal Officer. Every regulated entity shall appoint a Principal Officer responsible for compliance, monitoring and reporting.

Section 10. Reporting to FIU-IND. Suspicious Transaction Reports (STRs) and Cash Transaction Reports (CTRs) shall be filed with the Financial Intelligence Unit-India (FIU-IND) within the prescribed timelines.